

Outcomes Versus Process

SPORTS FANS AND investors tend to make similar errors. Perhaps the biggest is focusing on outcomes rather than process. Sports fanatics are all Monday morning quarterbacks; they can read you chapter and verse—after the fact—what should have been done late in the game on 4th and goal from the two-yard line.^{[301](#)}

It's called hindsight bias, and it afflicts investors, too. They can tell you what asset classes you should have owned last year, which hedge fund manager you should have invested with 20 years ago, and why you should have bought Netflix, Tesla, and Apple about 5,000% ago.

Thanks for nothing, Danny!

So, what is process, and how does it differ from outcome?

Process is the methodology used to accomplish an undertaking. It could be a simple checklist or a complex systematic approach. Process focuses on the specific actions that must be taken, *regardless of the results*.

Outcome is the result; it could be due to skill, luck, and intelligence, plus numerous other random factors. At the end of the day, outcome is who won or lost the game, how many planes landed safely, what stocks went up or down, and what surgical patients lived or died.

In sports terms, think of process as your playbook and outcome as the final score. In investing, process is your approach, investment style, discipline, and consistency, while outcome is your return or performance.

Imagine you are watching two people in a coin-flipping contest. One of them flips 10 heads in a row; the other's flips are more random—heads, tails, tails, heads, tails, etc. Are you willing to bet a substantial sum that the first flipper's next toss will be heads? If you said yes, you are outcome focused.

It seems brazen, yet that is exactly what many investors do. They chase the